ANSWER KEY

25901626 **Set A**

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026- SECOND SEMESTER

MG2DSCBLW100 - BUSINESS REGULATORY FRAMEWORK

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes, **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A- MCQ Questions-

Answer any 20 questions- Each question carries 1 mark

1. D: Communicated
2. B:Only parties to a contract can enforce it.
3. C: It is communicated to the offeror
4. C: The contract must be in writing
5. C: Having complete absence of any mental health condition.
6. A:Void
7. B:Voidable at Neha's option
8. A:"Every promise or set promises, forming consideration for each other"
9. B:Electronic Data Interchange
10. B:Remission
11. D:All the other options
12. B:Right to transfer ownership of goods if bailor fails to claim them
13. C:Gratuitous bailment
14. B:Continuing guarantee
15. B:Bilateral contract

16. C:Terms of the guarantee

17. C:Three parties

18. D:All of the other options

19. A:None of the other options

20. B:Let the buyer beware

21. A:Sale

22. D:The assignee or official receiver **(1 X 20 = 20**

Part B

MCQ Questions- Answer any 25 questions. Each question carries 2 marks

23. A:a) Both Assertion (A) and Reason (R) are correct, and Reason (R) is the correct explanation of Assertion (A)

24. C:(a) - (iii), (b) - (i), (c) - (iv), (d) - (ii)

25. A:A & B

26. D:(ii) and (iii) only

27. A:Statement I is true, and Statement II is false

28. B:(i), (ii) and (iii) only

29. B:The contract is void, and the minor cannot be held liable.

30. C:No, because advertisements are generally an invitation to offer

31. B:A contract of insurance

32. B:If an agreement's meaning is too vague, it is void

33. B:(i) and (iii) only

34. B:The contract is of personal nature.

35. B:No, because the event did not happen.

36. C:A is true, but R is false.

37. A:Only Statement 1 is correct.

38. B:Make reasonable efforts to find the owner

39. B:Statement I is true, and Statement II is false.

40. D:All of the above

41. D:All of the other options

42. A:(i), (ii) and (iv) only

43. A:Agency by Implied Agreement

44. A:A is liable as he failed to disclose a known defect.

45. C:M is completely discharged as a surety

46. A:Both A and R are true, and R is the correct explanation of A.

47. D:(i) and (iv) only

48. B:A condition is essential, while a warranty is collateral

49. A:Mr. A

[2x25 = 50]

Set B

Part A-MCQ Questions

Answer any 20 questions- Each question carries 1 mark

1. A:"Every promise or set promises, forming consideration for each other"
2. B:Bilateral contract
3. A:Sale
4. D:All of the other options
5. A:None of the other options
6. B:Right to transfer ownership of goods if bailor fails to claim them
7. B:Voidable at Neha's option
8. B:Electronic Data Interchange
9. D:Communicated
10. B:Continuing guarantee
11. B:Only parties to a contract can enforce it.
12. A:Void
13. C:The contract must be in writing
14. D:The assignee or official receiver
15. B:Let the buyer beware

16. C:Terms of the guarantee

17. C:Having complete absence of any mental health condition.

18. D:All the other options

19. C:Three parties

20. B:Remission

21. C:It is communicated to the offeror

22. C:Gratuitous bailment **(1 x20 = 20 marks)**

Part B – MCQ Questions

Answer any 25 questions. Each question carries 2 marks

23. C:No, because advertisements are generally an invitation to offer
24. A:Agency by Implied Agreement
25. B:If an agreement's meaning is too vague, it is void
26. B:Make reasonable efforts to find the owner
27. B:No, because the event did not happen.
28. B:Statement I is true, and Statement II is false.
29. A:A is liable as he failed to disclose a known defect.
30. A:A & B
31. D:(i) and (iv) only
32. A:Statement I is true, and Statement II is false
33. A:(i), (ii) and (iv) only
34. A:Mr. A
35. A:Only Statement 1 is correct.
36. A:a) Both Assertion (A) and Reason (R) are correct, and Reason (R) is the correct explanation of Assertion (A)
37. C:A is true, but R is false.
38. C:(a) - (iii), (b) - (i), (c) - (iv), (d) - (ii)
39. B:A condition is essential, while a warranty is collateral
40. B:A contract of insurance
41. B:(i) and (iii) only
42. B:The contract is of personal nature.
43. B:(i), (ii) and (iii) only
44. D:All of the other options
45. C:M is completely discharged as a surety
46. B:The contract is void, and the minor cannot be held liable.
47. A:Both A and R are true, and R is the correct explanation of A.
48. D:(ii) and (iii) only
49. D:All of the above **[2x25 = 50]**